

Sea Limited (\$SE) Investment Thesis

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Sea Limited is a Singapore-based technology company operating across Southeast Asia and Latin America through its three core business divisions, Shopee, Garena, and SeaMoney. Shopee is a leading e-commerce marketplace while Garena is a global gaming platform including its mobile gaming title Free Fire. Additionally, SeaMoney is its fast-growing financial service offering mobile wallets, payments, credit, and digital marketing solutions. Sea Limited has a vertically integrated system that ranges from commerce, entertainment, and financial services.

In its recent quarter four results, the company projected approximately 25% of revenue growth for Shopee, despite recent concern of potential credit risk around its lending business. As of fiscal year 2025, Sea Limited has increased their free cash flow (FCF) to \$5.02 billion compared to their \$3.3 billion in fiscal year 2024 indicating a strong year-over-year (YoY) growth due to Shopee's expansion in Southeast Asia, SeaMoney's scaling digital payments and lending, and improving profitability. A five-year discounted cash flow (DCF) model was constructed, assuming a conservative FCF growth declining from 11% to 5%. Additionally, a 3% terminal growth rate consistent with the Southeast Asian fintech and digital commerce markets were applied along with a weighted average cost of capital (WACC) of 9%. Sea Limited also has a strong balance sheet, with a total debt of approximately \$4.1 billion.

Based on these inputs, Sea Limited has an estimated fair value of \$181.59, representing a significant upside from its current market price of \$92. Although there is fierce competition within their e-commerce, gaming, and fintech industries, Sea Limited's ability to leverage its

ecosystem across its services will be critical in its long term growth. Despite recent share price declines, the company appears fundamentally undervalued, supporting a strong buy.